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Employer guide

Employee benefits in Egypt, 2026

What the law requires, what it really costs, what the market adds, and how to build a benefits package that fits your budget.

2026 insurance and tax | Worked payslips | Employer cost | Package design steps

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Benefits in Egypt come in two kinds: those the law requires of every employer, and extras companies add to attract and keep people. This guide gives the figures in force in 2026, works out the real cost of an employee, and sets out a practical way to build a package.

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01 Statutory and supplementary benefits

The difference, and why it matters

Statutory	Required by law: minimum wage, annual raise, social insurance, leave, and end-of-service payments where due
Supplementary	Chosen by the company: private medical cover, bonuses, allowances, training and more

Any cash or in-kind benefit written into the contract becomes the employee's right; the contract must list the wage and every agreed cash and in-kind benefit (Labour Law Art 89). The new law does not reduce any benefits employees already had.

Employer tip

In the offer letter, separate base pay, allowances and benefits. It shows the employee the full value and makes insurance and raise calculations easier.

02 Minimum wage and the annual raise

Labour Law 14/2025 and National Wages Council decisions

Minimum wage, private sector	EGP 7,000 a month since 1 March 2025
Review	At least once a year under PM Decision 3165/2026
Periodic raise	At least 3% of the insured wage a year after hiring or the last raise (Art 12)
Equal pay	Equal pay for work of equal value, in every element (Art 53)

Only the National Wages Council can exempt an employer from the raise, for economic hardship, deciding within 30 days.

03 Social insurance in 2026

Social Insurance and Pensions Law 148/2019

Insured wage	EGP 2,700 to 16,700 a month from 1 January 2026
Employer share	18.75% of the insured wage
Employee share	11% of the insured wage
Martyrs Fund	0.05% of gross pay, deducted from the employee

Insurance branch	Employer	Employee
Old age, disability and death	12%	9%
Lump-sum benefit scheme	1%	1%
Work injury	1.5%	—
Sickness	3.25%	1%
Unemployment	1%	—
Total	18.75%	11%

Above EGP 16,700 contributions are calculated on 16,700 only; below 2,700 they are calculated on 2,700. The old-age, disability and death rate rises by 1% every 7 years, split equally, with the first rise in January 2027.

Watch out

Register every employee with the National Organization for Social Insurance from day one and pay contributions monthly. A copy of the contract goes to the insurance office (Labour Law Art 89).

04 Payroll tax in 2026

Law 91/2005 as amended by Law 7/2024

Tax is worked out annually on net income: gross pay minus the employee's insurance share, then the EGP 20,000 personal exemption, with the brackets applied to the rest.

Annual taxable income	Rate
Up to EGP 40,000	0%
40,000 to 55,000	10%
55,000 to 70,000	15%
70,000 to 200,000	20%
200,000 to 400,000	22.5%
400,000 to 1,200,000	25%
Above 1,200,000	27.5%

- Above EGP 600,000 a year the lower brackets fall away gradually under the Article 8 schedule.
- Life and private health insurance premiums for the employee, spouse and minor children are deductible up to EGP 10,000 a year or 15% of net income, whichever is lower (Art 13).
- Cash allowances are taxable income, like salary.

05 Worked payslips and employer cost

Three monthly salary levels

Item (EGP a month)	7,000	10,000	25,000
Insured wage	7,000	10,000	16,700
Employee insurance 11%	770	1,100	1,837
Payroll tax	123	592.50	3,565.84
Martyrs Fund 0.05%	3.50	5	12.50
Net pay	6,103.50	8,302.50	19,584.66
Employer insurance 18.75%	1,312.50	1,875	3,131.25
Monthly cost to the company	8,312.50	11,875	28,131.25

Worked example · Gross salary EGP 10,000

1. Insurance: 10,000 × 11% = 1,100.
2. Annual base: (10,000 − 1,100) × 12 − 20,000 = 86,800.
3. Tax: 15,000 × 10% + 15,000 × 15% + 16,800 × 20% = 7,110 a year = 592.50 a month.
4. Martyrs Fund: 5. Net: 10,000 − 1,100 − 592.50 − 5 = 8,302.50.

Company cost: 10,000 + 1,875 = EGP 11,875

Employer tip

Above EGP 16,700 insurance stops rising, so the on-cost percentage falls as pay rises. Use the salary calculator on our site for any other figure.

06 Paid leave as a benefit

What Labour Law 14/2025 requires

Leave	Entitlement
Annual	15 days in year one, 21 from year two, 30 after 10 years or age 50, 45 for employees with disabilities (Art 124)
Casual	7 days, 2 at a time, from the annual balance (Art 128)
Father at birth	1 paid day, 3 times (Art 128)
Maternity	4 paid months, 3 times (Art 54)
Childcare	Up to 2 years unpaid, establishments of 50+ (Art 57)
Hajj	1 paid month once, after 5 years (Art 130)
Exams	Actual exam days, paid (Art 126)
Sick	Pay replacement under the Social Insurance Law (Art 131)
Public holidays	Paid, set each year by ministerial decision (Art 129)

Work on a public holiday is paid at the day's wage plus twice that wage, or a substitute day at the employee's written request (Art 129).

07 Other statutory benefits

Death, after 60, profit share and training

Benefit	Rule
Funeral costs	Two months' pay, min EGP 1,000, plus a grant of the month of death and the next two (Art 169)
Post-60 award	Half a month per year for the first 5 years, a month per year after, if no insurance rights cover the period (Art 172)
Unlawful termination	At least two months' pay per year of service (Art 165)
Employees' profit share	In companies under Companies Law 159/1981: at least 10% of distributed profit, capped at total annual wages
Training and qualification fund	0.25% of the minimum insured wage per worker per year, EGP 10 to 30, for establishments of 30+ (Art 21)

08 Common supplementary benefits

Not required by law, but they win candidates

Benefit	Why it matters	Tax note
Private medical cover	The benefit candidates ask about most, especially with families	Premiums for the employee and family are deductible up to the legal cap
Life insurance	Security for the family at low cost	Within the same deduction cap
Annual bonus or extra month	Ties pay to performance and results	Taxable
Transport or meal allowance	Eases commuting and living costs	Taxable as income
Flexible or remote work	Valued by employees and recognised by the new law (Art 96)	No tax cost
Training and certifications	Builds skills and loyalty	A tie-in period is allowed (Art 95)
Phone and internet	Essential for remote and sales teams	Depends on whether it is a perk or a work tool

Watch out

If you fund an employee's training and agree a tie-in period, they repay the training cost if they leave early, unless the contract says otherwise (Art 95). Write the clause clearly.

09 Foreign employees

Same rights, extra conditions to employ

- A foreign employee has the same Labour Law rights wherever their contract is silent.
- They may only work with a Ministry work permit and residence for work (Art 71).
- The Minister sets the maximum share of foreign staff and the closed professions (Art 70).
- Common extras: housing or a housing allowance, annual flights, international medical cover, relocation support.

10 How to build a benefits package in 5 steps

A practical method for SMEs

Step	What to do
1. Budget and goals	Start from the statutory cost (insurance, raise, leave), then set what remains for extras and what you want: hiring, retention or performance.
2. Market and people	Compare with competitors in your sector, and ask your people in a short survey what they actually value.
3. A flexible package	Fix a core for everyone (such as medical cover) and offer options by level or need.
4. Communicate	Explain the package in writing, list benefits in contracts and offers, and collect feedback.
5. Review yearly	Review use and cost every year, and whenever the minimum wage or insurance limits change.

- [ ] Every wage is at least EGP 7,000.
- [ ] The 3% periodic raise is scheduled for each employee.
- [ ] Insurance is calculated on the right insured wage (2,700 to 16,700).
- [ ] Benefits are written into contracts as cash or in kind.
- [ ] The leave policy matches the new law.
- [ ] Medical and life premiums are deducted from the tax base within the cap.

Design a competitive package with no cost surprises

In a free 30-minute check we review your pay structure, benefits and social insurance, and cost each option for you.

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